

Master Commitment Overview

Learn what master commitments are and how they work

Overview

A master commitment is the finalized credit facility agreement that defines the complete facility structure. It's automatically created when a term sheet is approved and contains all the rules, parameters, lender information, borrowing base calculations, and other configurations needed to operate the facility. Master commitments serve as the foundation for all facility operations.

What Master Commitments Are

A master commitment is the complete, finalized agreement that defines how a credit facility will operate. It's like the rulebook for the facility—it contains all the terms, rules, calculations, and configurations that govern every aspect of facility operations. When you have an active master commitment, you have a fully configured facility ready for use.

Master commitments are automatically created from approved term sheets, so you don't need to create them manually. They start with information from your term sheet, then facility agents configure the complete structure including all rules, calculations, and lender groups. Once configured and approved by lenders, master commitments become active and enable funding requests.

Purpose and Use Cases

Master commitments serve as the operational foundation for credit facilities:

For Facility Structure - Master commitments define the complete facility structure, including all rules, parameters, and configurations needed to operate the facility. They serve as the single source of truth for how facilities work.

For Rule Definition - All facility rules are defined in master commitments, including borrowing limits, collateral eligibility, drawdown frequency, repayment terms, and other requirements. These rules govern all facility operations.

For Lender Configuration - Master commitments configure lender groups, participation percentages, voting rights, and other lender-specific settings. This determines how lenders participate in the facility.

For Borrowing Base Setup - Borrowing base calculations are configured in master commitments, determining how much borrowers can borrow based on collateral, financial metrics, or other factors.

For Facility Activation - Master commitments must be approved by lenders before facilities become active. Once approved, facilities are operational and borrowers can create funding requests.

For Operational Reference - Master commitments serve as complete documentation of facility structure and rules, ensuring all parties understand how facilities operate and what rules apply.

Key Components

Facility Terms - Basic facility information from the approved term sheet, including facility name, maximum facility amount, interest rates, repayment terms, and facility term. This information is pre-populated from the term sheet.

Facility Rules - Rules that govern how the facility operates, including borrowing limits, drawdown frequency rules, utilization limits, payment terms, interest rate structure, and fee calculations. These rules control all facility operations.

Borrowing Base Calculations - Formulas and rules that determine how much borrowers can borrow. This includes calculation methods, advance rates, collateral eligibility rules, and borrowing limits. Borrowing base calculations determine available borrowing capacity.

Collateral Eligibility Rules - Criteria that define what assets can be used as collateral and how they're valued. This includes collateral type requirements, quality standards, age limits, geographic limits, and valuation methods.

Lender Groups - Configuration of lenders who will participate in the facility, including their participation percentages, commitment amounts, voting rights, and roles. Each lender's participation is tracked individually.

Operational Parameters - Other settings needed to operate the facility, including reporting requirements, monitoring requirements, covenant templates, and other operational configurations.

How Master Commitments Work

Automatic Creation - Master commitments are automatically created when term sheets are approved. The system takes information from your approved term sheet and pre-populates the master commitment, ensuring continuity from proposal to facility.

Facility Agent Configuration - Facility agents configure the complete facility structure by setting up facility rules, borrowing base calculations, collateral eligibility rules, lender groups, and other parameters. This configuration happens while the master commitment is in Draft status.

Create Master Commitment Modal - Scroll State B

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The screenshot shows the 'FACILITY OPERATIONS' interface. A 'Create Master Commitment' modal is open, and within it, the 'Configure Collateral Eligibility Rules' sub-modal is active. The sub-modal has two rule groups:

- Rule Group 1: Loan Type Eligibility**
 - ☒ Residential Mortgages
 - Min FICO: 680
 - Max LTV: 80%
 - Min Loan Amount: \$50,000
 - ☒ Commercial Real Estate
 - Min FICO: 680
 - Max LTV: 80%
 - Min Loan Amount: \$50,000
- Rule Group 2: Geographic Restrictions**

At the bottom of the sub-modal are 'Cancel' and 'Apply' buttons. The background shows an 'Inbox data table' with columns for Type, Status, and Actions, listing items like Term Sheet, Master Commit, and Fund Request.

Create Master Commitment - Configure Collateral Eligibility Rules Modal

Lender Approval - After configuration, facility agents submit master commitments for lender approval. Lenders review the complete facility structure and approve or reject. Any lender approval activates the facility.

The screenshot shows the 'Review Facility' modal for lender approval. It has tabs for Basic, Parties & Accounts, Economics & Fees, Borrowing Base & Eligibility, Covenants & Triggers, Perfection & Legal, and Docs & Ratings. The 'Basic' tab is selected, showing the following fields:

Facility ID	Facility Name
MC-12052025-1sr4	IN Credit Facility 1 - Lender 1
Origination Date	Effective Date
09/24/2025	09/24/2025
Facility Type	Currency
Warehouse Loan	USD
Commitment	Governing Law
1450000	New York

An 'Approve & E-Sign' button is located at the bottom right of the modal.

Lender Approval - Master Commitment

Facility Activation - Once at least one lender approves, the master commitment becomes Active, and the facility is operational. Borrowers can create funding requests, and the facility is ready for use.

Ongoing Operations - Active master commitments govern all facility operations. All funding requests must comply with facility rules defined in the master commitment. Borrowing capacity is calculated based on borrowing base rules, and all operations follow the configured structure.

Rule Enforcement - All facility rules defined in master commitments are enforced throughout the facility lifecycle. Funding requests are evaluated against these rules, borrowing capacity is calculated using configured formulas, and all operations must comply with the defined structure.

Important Points to Know

Automatic Creation - Master commitments are automatically created when term sheets are approved. You don't need to create them manually—the system creates them with pre-populated term sheet data, ensuring continuity.

Facility Agent Configuration Required - Facility agents must configure the complete facility structure before submitting for lender approval. This includes setting up all rules, calculations, and lender groups. Configuration must be complete before submission.

Lender Approval Activates Facility - Master commitments must be approved by at least one lender before facilities become active. Any lender approval activates the facility—you don't need all lenders to approve. Once active, borrowers can create funding requests.

Defines All Facility Rules - All rules that govern the facility are defined in the master commitment, including borrowing limits, collateral eligibility, drawdown frequency, and other requirements. Understanding these rules helps you use the facility effectively.

Becomes Active When Approved - Once at least one lender approves, the facility becomes active, and borrowers can create funding requests. The facility remains active until it expires, is closed, or is terminated.

Complete Documentation - Master commitments serve as complete documentation of facility structure and rules, ensuring all parties understand how facilities operate. All facility activities reference the master commitment structure.

Cannot Edit After Active - Once a facility is active, the master commitment typically cannot be edited. All facility rules and configurations are locked in. Make sure configuration is correct before submission.

Understanding master commitments helps you appreciate how term sheets become operational facilities, know what facility agents configure, understand when facilities become active, work effectively within facility structures and rules, and know how facility operations are governed throughout the facility lifecycle.